

June 24, 2026

To: Vanessa A. Countryman, Secretary

Securities and Exchange

Commission, 100 F Street NE

Washington, DC 20549-1090

Via <https://www.sec.gov/rules-regulations/publiccomments/s7-2026-15>

Re: **File No. S7-2026-15, Release Nos. 33-11414; 34-105368; 39-2563; IC-36140,**
Semiannual Reporting

Dear Secretary Countryman:

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We respectfully submit this comment in response to the Commission's proposed amendments that would allow Exchange Act reporting companies to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q.

We oppose the proposal because it would reduce the timeliness and relevance of public-company financial reporting, increase information risk for investors, and weaken the periodic reporting discipline that supports investor protection and market confidence.

GAAP and the FASB Conceptual Framework emphasize decision-usefulness, relevance, and timeliness.

Accordingly, the appropriate reference for “relevance” and “timeliness” is the FASB Conceptual Framework, not PCAOB auditing standards.

FASB Concepts Statement No. 8, Chapter 3, paragraph QC4, states that **financial information must be relevant** and faithfully represent what it purports to represent to be useful. Paragraph QC5 identifies relevance and faithful representation as the fundamental qualitative characteristics of useful financial information. Paragraph QC6 states that relevant financial information can make a difference in users’ decisions. Paragraph QC7 explains that financial information can make a difference if it has predictive value, confirmatory value, or both.

Timeliness is also directly relevant. FASB Concepts Statement No. 8, Chapter 3, paragraph QC29, states that timeliness means having information available to decision makers in time to be capable of influencing their decisions, and that, generally, the older information is, the less useful it is.

The proposal would move financial reporting in the opposite direction. By permitting issuers to replace quarterly Form 10-Q reports with semiannual Form 10-S reporting, the Commission would reduce the frequency with which investors receive structured, comparable, GAAP-based interim financial information. The information may still eventually be disclosed, but it will be less timely, less capable of influencing current investment and voting decisions, and therefore less relevant.

The proposal increases *information risk* to investors.

The concept of information risk is especially important here. Information risk arises because investors are outside the internal operations of management and must rely on financial reports and related disclosures to assess the issuer’s financial condition, performance, liquidity, and risks.

This concern is consistent with FASB Concepts Statement No. 8, Chapter 1, paragraph OB5, which recognizes that many existing and potential investors, lenders, and other creditors cannot require reporting entities to provide information directly to them and therefore must rely on general purpose financial reports for much of the financial information they need.

That is the core investor-protection issue. Management has direct access to the issuer’s books, records, accounting judgments, internal forecasts, controls, and operating trends. Public investors do not. The periodic reporting system reduces that distance by requiring

recurring, standardized, GAAP-based disclosure. Moving from quarterly reporting to semiannual reporting increases the time during which investors must make decisions without current GAAP-based interim financial statements.

The proposal would hurt investors, who are the central stakeholders of the SEC's disclosure regime.

The proposal would harm investors by increasing the gap between what management knows and what shareholders know. Investors would receive fewer mandatory interim financial reports, less frequent MD&A, less frequent updates about liquidity and capital resources, and fewer periodic disclosures regarding material trends and uncertainties.

This would particularly disadvantage ordinary investors. Large institutional investors may be able to obtain or infer information through alternative data, private research, analyst models, supplier and customer checks, or other market intelligence. Ordinary investors generally cannot. Reducing the frequency of mandatory public reporting therefore risks shifting informational advantage away from the public disclosure system and toward those with greater private research capacity.

That result is contrary to the investor-protection purpose of the federal securities laws.

The proposal is counterintuitive to the financial-reporting movement toward relevance.

Financial reporting has long involved a pendulum between reliability, now generally expressed through faithful representation, and relevance. In recent decades, standard setters and regulators have repeatedly emphasized that financial information must be useful to investors in making decisions. But usefulness requires more than eventual disclosure. It requires disclosure soon enough to matter.

The proposal is counterintuitive because it weakens the very quality it purports not to disturb: relevance. Under the FASB Conceptual Framework, information is relevant when it can make a difference in users' decisions. Delayed information is less capable of making a difference, especially in public markets where investors must make decisions continuously.

Semiannual reporting would therefore reduce the relevance of interim financial reporting by making it less timely.

PCAOB auditing standards should be considered separately, as audit and review standards, not GAAP.

Although PCAOB standards are not GAAP, they remain relevant to the investor-protection consequences of the proposal. Quarterly Form 10-Q reporting is accompanied by quarterly interim financial information and related review procedures. Reducing the number of required interim reports would reduce the frequency of the reporting and review discipline imposed on management, audit committees, and auditors.

That discipline matters because financial reporting is not merely a year-end event. Interim reporting helps identify accounting issues, disclosure issues, liquidity concerns, internal-control concerns, and emerging risks on a more current basis. Reducing that cadence increases the risk that investors will learn of important developments later than they should.

Recommendation.

The Commission should not adopt the proposal in its current form. The better course is to retain mandatory quarterly reporting. Quarterly Form 10-Q reporting supports relevance, timeliness, comparability, investor confidence, and market efficiency.

If the Commission nevertheless proceeds, it should at minimum preserve quarterly reporting for accelerated filers and large accelerated filers, require clear investor approval before an issuer may elect semiannual reporting, require prominent disclosure that the issuer has reduced the frequency of GAAP-based interim reporting, and require quarterly disclosure of core financial information, liquidity, capital resources, material trends, and changes in internal control over financial reporting.

Investors are the principal intended beneficiaries of the public-company disclosure system. A proposal that reduces the frequency of mandatory public reporting increases information risk, widens the distance between shareholders and management, and diminishes the timeliness and relevance of financial information. **For those reasons, we respectfully urge the Commission not to adopt the proposed semiannual reporting framework.**

About Rechtman Consulting

Rechtman Consulting provides specialized forensic accounting and litigation-support services in matters involving *audit malpractice*, *financial statement fraud*, *internal-control failures*, and related accounting and disclosure issues.

The firm assists counsel, companies, investors, and other stakeholders in evaluating whether financial statements, audit procedures, professional judgments, and related representations were consistent with applicable accounting, auditing, and professional standards. Its work includes analysis of alleged GAAP departures, audit failures, earnings manipulation, misstatements, omissions, management override, internal-control deficiencies, and damages-related accounting issues.

Rechtman Consulting brings a practical, evidence-based approach to complex disputes involving financial reporting, auditor conduct, and the reliability of financial information.

Respectfully submitted,

A handwritten signature in black ink, reading "Yigal Rechtman". The signature is fluid and cursive, with the first name "Yigal" and last name "Rechtman" clearly distinguishable.

Yigal M. Rechtman, CPA, CFE, CITP, CISM

Managing Partner